



Re-Leased

THE
**CHANGE
MAKERS**
IN CRE

Disruptors & Innovators:

Understanding the Forces Shaping the Commercial Real Estate Industry in 2023

Navigating a changing future



If 2022 has taught us anything, it's that the commercial real estate industry is at a tipping point.

The evolution of the industry has seen more disruption in the last three years, than the previous century, and this acceleration has excited some, but made others uncomfortable.

For the first time, the traditional commercial real estate business model faces genuine competition from outside of the industry. There's no better example than office tenants choosing to work from home, enabled by technology, as an alternative to signing a long-term office lease. Platforms like Zoom and Teams are now the competitors to the office, rather than the building down the road.

The pandemic did not create these competitors, but it did take them mainstream and make them socially accepted in a work context. Now, to keep pace with these new threats, commercial

real estate must accept that the landscape has shifted and adapt to remain relevant.

In our ChangeMakers in CRE podcast series, I was fortunate to interview forward-thinking industry leaders on their innovative approaches to solving problems and seizing opportunities. We also discussed what they believe will shape the future of the industry.

In this guide, you will find the key trends identified across our discussions and how you can best leverage them to push your business forward in 2023.



Tom Wallace
Founder & CEO,
Re-Leased

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Featuring insights from:

- Edward Wagoner, JLL
- James Pellatt, GPE
- Rebeca Guzman Vidal, Chelsfield
- Charlotte Brabant, Calibrate Property Consulting
- Andrew Knight, RICS
- Sheree McIntyre, Coworking Counsel
- Julian Carey, Industrials REIT
- Brad Krauskopf, Hub Australia
- Darren Krakowiak, CRE Success
- Michael Gillon Bayleys
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1.

The integration and acceptance of PropTech

Embracing technology for operational efficiency gain and new opportunities

The use of PropTech has exploded post pandemic, and is now accepted as an integral part of successful everyday operations in real estate.

While some may be deterred by the prospect of additional costs in this economic environment, these are easily offset by the increased efficiency that comes with process automation and centralized information. PropTech's leading benefit is to give business the ability to do more, with less resource.

According to Deloitte's 2023 Commercial Real Estate Outlook, **"Technology is not a place where the real estate industry should be cutting back on spending."**

"Real estate firms with the flexibility and risk appetite within the current environment can get ahead by exploring how technology can unlock potential and achieve better efficiencies in the long term."

By effectively implementing the correct PropTech for your business, you can drive positive ROI improving real estate-related processes and services across a wide range of areas, such as property management, building maintenance, tenant relations, leasing, and more.

PropTech not only saves you time and money by automating repetitive tasks, but it also allows you to make timely and strategic decisions based on accurate information, specific to your business. Leading firms have found that investing in technology and having clear visibility of their critical data enables them to provide insight to clients rather than spending that time searching for the right data.

In an industry experiencing so much disruption, knowing your data and your place in the world is key to success.



"Everyone should be thinking about, and playing in this space and understanding how they can deliver better for their core constituency through better use of technology and data."

Edward Wagoner,
Global CIO for Digital, JLL

"If you don't take this seriously, in 5 years we won't take you seriously as you're not going to be around".

Edward Wagoner,
Global CIO for Digital, JLL





"If you don't put the infrastructure in place to have information at hand, you will always be waiting to see what the market does, and be reactive - that will always put you behind in your decision making."

James Pellatt, Director of Innovation, GPE

If you are overwhelmed by the options available, seek advice from outside your organization. Start by focusing your technology roadmap on areas that are mission critical to your business. The right PropTech partner should assimilate into your business, and make day-to-day activities easier by integrating with your other systems such as accounting software. *It's not about having all the bells and whistles; your tech stack should be small, but mighty.*



"If you don't adopt tech now, competitive pressures will force you to and you will be further behind everyone else. Whether you want to be out-innovated by a competitor is your choice. The benefits are almost too many to mention really, in terms of the potential use of data and analytics to maximize the efficiency for everybody, not just asset managers, but also the people who use those those buildings"

Andrew Knight, Thought Leader - Data & Tech, RICS

2.

The end of the long-term lease

Leverage industry changes to form stronger tenant relationships



In the post-pandemic world of hybrid working and new tenant expectations, long-term leases are increasingly less common with tenants now often demanding more flexible lease terms. The shorter tenures may signal a lack of security for landlords but it is also driving a need to be more knowledgeable about their tenants, their buildings, and the environment they are operating in.

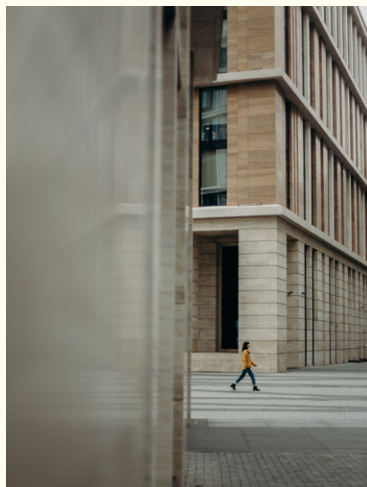
Where passive management focused on rent collection, maintenance and lease renewal usually sufficed in the past, it is now no longer meeting the mark. Buildings and tenants must be strategically considered in order for leases to be retained.

"Now, if you're an owner or a manager and asset manager of property and you don't have the security of tenure from a long lease, you really need to change the way that you would manage or own that property. You need to deeply understand your tenants, your assets and the market. Unless you can move quickly

and give a customer what they want, you could end up with weakened, or non-existent demand for property that was considered premium just a few short years ago."

Tom Wallace, CEO, Re-Leased

There is, however, an emerging trend around Green Leases where some longer leases being signed are driven by a mutual ESG-driven agreement between the landlord and tenant to improve the space towards net-zero targets.



2a



The tenant becomes the "customer"

Increase retention rates and revenue with improved customer service.

With shorter lease terms comes more critical dates and required touch points - meaning your customer service needs to be proactive, and slick.

"Tech can be used to free up people's time so actually you increase the non-digital interactions, because the digital piece is doing the automation and not keeping people locked to some desktop computer."

Andrew Knight, RICS



Smart technology creates consistency in your processes and operations, something that customers have come to expect from their landlords and property managers. When your customer experience is only as good as your weakest link, technology allows you to identify where that link may be - and then improve it, which keeps your customers happy, and in turn increases the likelihood of retaining them at lease renewal time.



"What we've seen from serviced offices is that if landlords embrace that and change the way that they operate to better serve their customers, then those customers are willing to

pay a healthy premium for that service. That's why we think customer service is really important because it gives our customers greater value and it achieves better value for us as an organisation as well."

Julian Carey, Managing Director, Industrials REIT

Understanding and meeting your customers' needs is also important to deliver the kind of experience they demand, and the operating system they interact with should equally be focused on their requirements.

"A best-in-class operating platform is sector-specific. You don't see people operating student accommodation and self-storage on a single platform, they typically have very specific

features. So you've got to nail your niche and focus is so important."

Julian Carey, Managing Director, Industrials REIT

On top of how a customer interacts with your business virtually, there are also major changes to the way they experience that building physically, leading to the rise of "space-as-a-service".





2b



The 'space-as-a-service' revolution

Create in-demand buildings with wrap around services and amenities.

There's no place like home and now that offices are competing with the kitchen table, tenants' expectations are increasing exponentially.

"You need an experience that's so good that I'm going to get out from behind the kitchen desk and, even worse I'm going to brave the commute. I've got to go to something that's really high quality."

Brad Krauskopf, CEO, Hub Australia

Not only do tenants now want a physical space for their operations, they want quality amenities supporting that space, with flex workspace operators now commonly offering cafes, concierge services, business lounge management along with full building activations.



"We've been just giving people their wages and demanding them to come to work by 8:30am. Company owners or CEOs have been able to ride that for a long time now. But it'll be great for the population at large to have the type of environment that brings out the best in people."

We have our favourite restaurants, parks, or camping grounds, and

the visual appeal of those things is very strong. We don't go there just because the food's great. We go there because it's a whole experience. It's immersive, and we get the benefits of not just the food being great but all our senses being activated. And that's similar to how I see the workplace, which benefits everybody."

Sheree McIntyre, Founder & CEO, Coworking Counsel





This phenomena is not contained to the cities. The hybrid working model is also leading to a push of coworking offerings into the suburbs as the “hub and spoke” or satellite office trend continues to gain momentum, and proactive landlords are capitalising on this.



can work from home two days a week, but you're still in that situation where you are on your own, and the lines are blurred between what's work and what's not. I think that suburban city fringe coworking operators has got a place now more so than ever."

Sheree McIntyre, Coworking Counsel

further in the experience that you create around your asset, then there's going to be a bit of pain. Because a B-grade asset, exactly as it was pre-pandemic, will have all the more demands put on it and have to work all the more harder to attract tenants."

Brad Krauskopf, Hub Australia

"The landlords and the coworking operators I'm speaking to are talking about their suburban locations being in demand. The landlords are also talking about how they get some flex space in their suburban assets.

I've also heard other coworking operators are looking for more suburban sites because it may be a given that you

This is a mindset shift for landlords who are used to accommodating basic needs, but it is one to take seriously, as, in this competitive landscape, failure to meet these expectations will mean failure to lease your buildings.



"If you're thinking that you're not going to have to redevelop or invest



3.

The rebirth of retail

Think laterally to fill spaces and drive in-person experiences



Despite earlier musings, retail is not dead. There will always be a place for a physical store, that we know.



"20 pence of every pound spent in the UK is spent online. But there is another stat that is also worth bearing in mind, which is that 85% plus of every pound spent is still influenced by a physical location."

Rebeca Guzman Vidal, Group Head of Retail Strategy, Chelsfield

A physical site allows for an immersive brand experience, which is a necessary part in the customer journey to convince them to purchase. Whether they buy in store or not, customers like to see and feel a brand, and therefore the physical store is here to stay. A pivot to consider in retail real estate, is pop-up stores. As long-

term leases decline, there is the opportunity for landlords to turn short-term initiatives into long-term commitments with businesses who perhaps would not have been able to afford a store front usually. Pop-up stores allow retailers to test out the benefits of a physical store, and understand the location and customers before deciding whether to stay. Fostering this kind of business growth is going to be key to the ongoing success of the retail environment.

"We've now realized that the number of brands that are successful and want or need a 10-year term has massively faded through COVID; and there's nothing wrong with having a variety of lease lengths, and there's nothing wrong with having pop-ups."

Rebeca Guzman Vidal, Group Head of Retail Strategy, Chelsfield



4.

The actualization of ESG

Focus on building health as an investment strategy.



"It doesn't matter what your personal viewpoint is on climate change - you are going to deal with it."

Edward Wagoner, JLL

Going into 2023, the sustainability of buildings is a hot-button topic, driven by estimations that commercial real estate accounts for nearly 40% of annual global CO₂ emissions.

The environmental impact of a property now undoubtedly influences investor interest and occupancy rates. On top of this, pending ESG regulations across the globe are driving an accelerated uptake in PropTech as a way of meeting reporting requirements, while providing a crucial insight into the performance of buildings, and highlighting opportunities to improve.

While industry readiness for these regulations is still in the early

stages, proactive businesses are looking ahead at ways to incorporate ESG data and analytics into their investment strategy decisions within the next 12 to 36 months.

According to Deloitte's Commercial Real Estate Outlook, *"only 7% of respondents currently use ESG data and analytics in their investment strategy decisions, though most who have identified the risks of ESG noncompliance and opportunities for full adoption plan to do so within one to three years."*



"I'm seeing a significant increase in focus on sustainability tech in the APAC region and I expect this to continue next year in the form of new funds, incubators, and accelerators in many countries. Products are evolving quickly from

"measure and monitor" to proactive management of energy usage and building performance."

Carolyn Trickett, JLL Spark

This spotlight on sustainability will be felt across the board by investors and owners as the increasing scrutiny in the health of buildings will force the industry to address these issues.



If you aren't considering ESG in your business decisions, it's time to start.

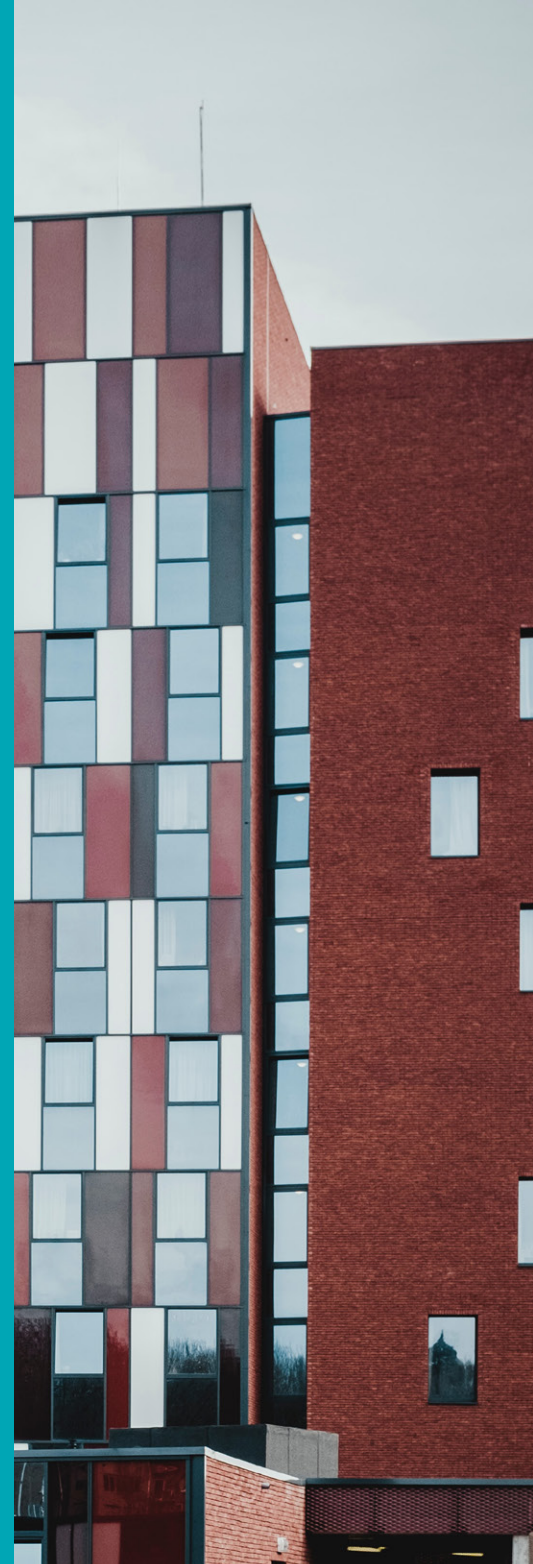
The Deloitte Commercial Real Estate Outlook encourages you to start thinking about how you might carve value out of ESG Regulations. Start performing relevancy assessments, collect ESG data and consider targets (in that order) on current initiatives and proposals. Evaluate the quality of your current data, and look for some benchmarking opportunities. Explore sectoral data when setting targets, and avoid stranded assets by taking a long term view to refurbish and renew existing buildings rather than demolish and rebuild. Given the speed that this relatively new approach is moving, it is understandable to feel overwhelmed. Proactively manage this by seeking external advice.



"We're definitely seeing a green premium in terms of rental values for those attractive assets and

undoubtedly there's a brown discount emerging. Ultimately, both in terms of the client demand, occupier demand, and, in some respects, legislation, there will be stranded assets if you don't use technology to make sure that your buildings are as efficient as possible."

Andrew Knight, RICS



5.

Thinking differently in the war for talent

Create a modern business with people and processes



In this tight labour market, considering how you operate your business, and who you employ is key to successful talent retention and acquisition.

It's not surprising that commercial leaders are finding it difficult to attract the talent they need while also ensuring they retain their best people. But the opportunity here lies in looking at different avenues to help with your recruiting activities.

With proper systems (processes and technology) providing the backbone of your operations, leaders can expand their options and be more definitive about the type of people they want in their business.



"We need to hire for attributes and attitude, not just experience and expertise. If we only focus on hiring people with the experience or expertise that we're looking for, then it will be a very narrow pool of people that we can get."

Darren Krakowiak,
CEO, CRE Success

The industry must also start embracing diversity, equity, and inclusion (DEI) in order to expand the pool of people to choose from even further and allow a diversity of ideas.

This not only will lead to more innovation inside businesses, but it creates a better relationship with potential clients and employees, who are more likely to do business with you or join you once they see themselves reflected inside your company.

"There's more work to be done around DEI, but I can see that some of the bigger firms have tried deliberately looking to promote more women into leadership positions. They're also discussing it more, whereas previously, these issues weren't discussed. And it's not just about gender. It's also about disability, people's sexual orientation, or age. Giving people opportunities that come from different social and economic backgrounds are all ways that we can promote diversity, equity, and inclusion. If people see themselves reflected in the organization, it's more likely to seem inviting."

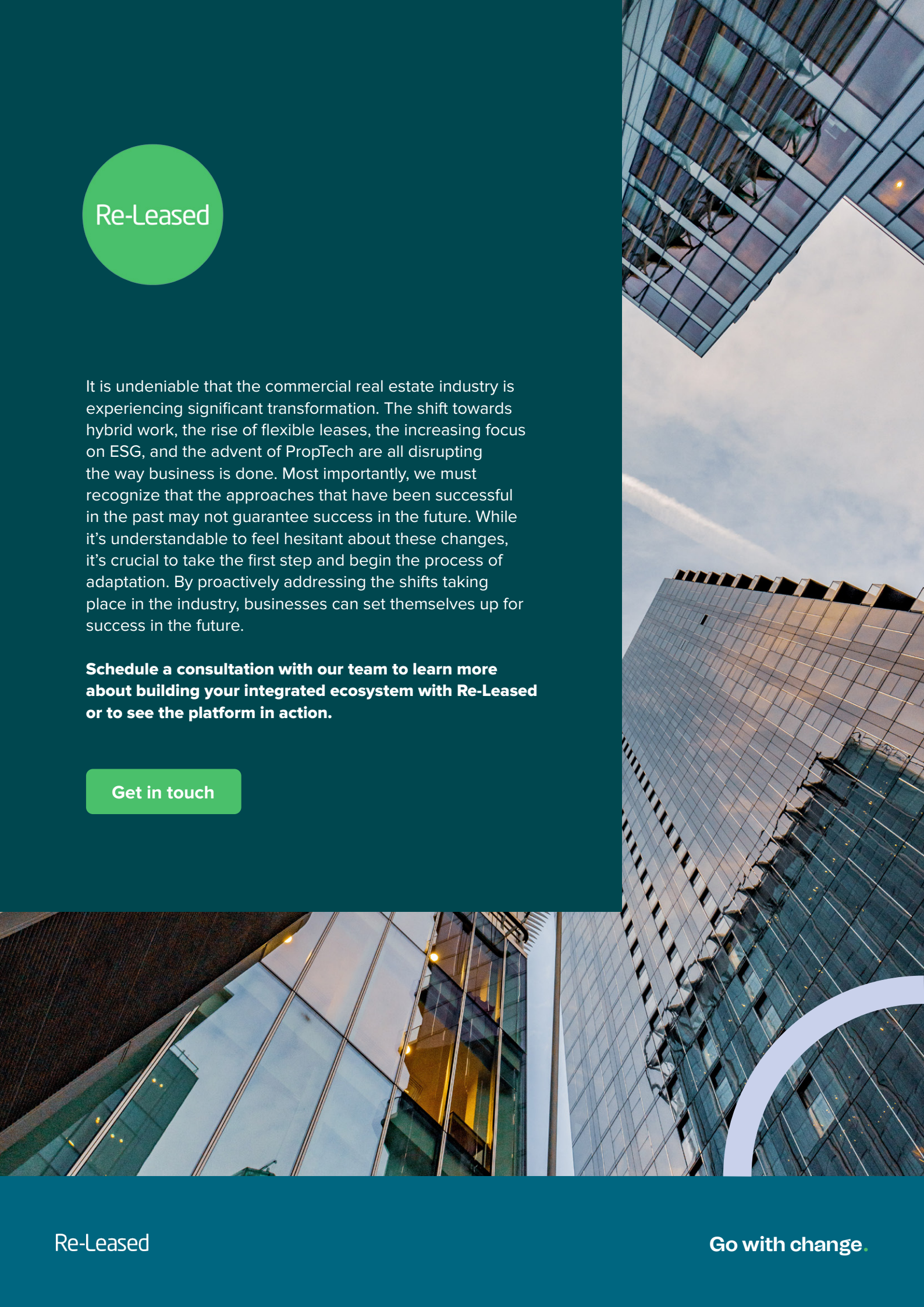
Darren Krakowiak,
CEO, CRE Success

In an industry that is dominated by males, the introduction of women to the table is one that has been slow coming, but very welcome. The last decade has seen a growing amount of females pursuing careers across all aspects of Commercial Real Estate and this momentum is unlikely to slow down anytime soon, to the benefit of business everywhere.



"When I started 10 years ago, I was probably one of the few women in development. But now whether it's in development or project management or design or construction or leasing, you're definitely seeing greater female participation. I'm really excited to see that. And I'm really excited to see leaders in the industry really champion that as well."

Charlotte Brabant, Calibrate
Property Consulting



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It is undeniable that the commercial real estate industry is experiencing significant transformation. The shift towards hybrid work, the rise of flexible leases, the increasing focus on ESG, and the advent of PropTech are all disrupting the way business is done. Most importantly, we must recognize that the approaches that have been successful in the past may not guarantee success in the future. While it's understandable to feel hesitant about these changes, it's crucial to take the first step and begin the process of adaptation. By proactively addressing the shifts taking place in the industry, businesses can set themselves up for success in the future.

Schedule a consultation with our team to learn more about building your integrated ecosystem with Re-Leased or to see the platform in action.

Get in touch